Fuel-fuelled: inflation expected near 3.9% in Wednesday's CPI

The ABS releases the September-quarter CPI on Wednesday 28 October, six days before the RBA meets. The oil shock is pushing up headline inflation, and underlying inflation is also expected to come in above the RBA's forecast.

WHAT HAPPENED

- Economists expect headline CPI to rise **1.3% in the quarter** and **3.9% over the year**.
- CBA expects the **trimmed mean** to rise **1.0% in the quarter (3.6% over the year)**. The RBA had forecast 0.8% for the quarter in August.
- That would be the **fifth quarter in a row** of underlying rises between 0.8% and 1.0%.
- **Fuel prices are up about 24%** over the year because of the Middle East oil shock. They are the biggest single driver of headline inflation.
- Inflation in **market services** is expected to rise to about 4.3%, a sign of domestic demand pressure. New home price inflation is easing.

Trimmed mean: the RBA's preferred underlying measure, which drops the most extreme price changes each period

Cost-push inflation: inflation caused by rising production costs such as fuel

KEY NUMBERS

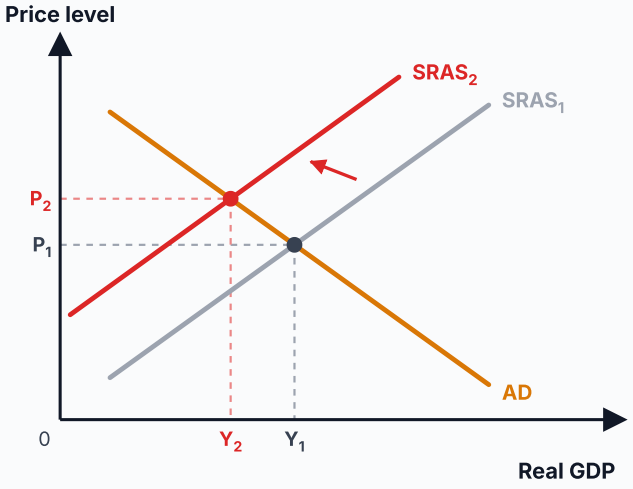
3.9%
expected headline CPI, year to Sept qtr

3.6%
expected trimmed mean, annual (CBA)

~24%
annual rise in fuel prices

2–3%
RBA inflation target

DIAGRAM Higher fuel costs cause cost-push inflation



Dearer fuel raises firms' production and transport costs, so **SRAS shifts left from $SRAS_1$ to $SRAS_2$**.

The price level rises from **P_1 to P_2** while real output falls from **Y_1 to Y_2**. This mix of higher inflation and weaker growth is **stagflation**. Rising services inflation suggests demand-pull pressure as well.

Exam angle: the RBA can't lower world oil prices. It watches whether the fuel shock spreads into wages and expectations (**second-round effects**), which is why underlying inflation matters more to it than the headline figure.

SYLLABUS LINK

Topic 3 – inflation: measuring it with the CPI; headline vs underlying inflation; cost-push vs demand-pull causes; the effects of inflation.

TRY THIS

1. Explain why the RBA focuses on the trimmed mean rather than headline CPI when fuel prices are driving inflation. **(3 marks)**
2. Assess whether Australia's current inflation is mainly cost-push or demand-pull. Use evidence from this story. **(5 marks)**

Sources:
1. CommBank – September data will keep inflation pressure on RBA – https://www.commbank.com.au/articles/newsroom/2026/10/inflation-cpi-rba-interest-rates-november.html
2. ABC News – Markets blog, 26 Oct 2026 – https://www.abc.net.au/news/2026-10-26/asx-markets-business-live-news-october-26/107306820
3. ABS – Release calendar – https://www.abs.gov.au/release-calendar/future-releases

Summary written in our own words from the sources listed; diagrams are illustrative and not to scale.